think a smaller version could be interesting."

We turned to discussing some of the behaviors of the owner-operators — for example, their penchant for making deals when others are afraid. Matt elaborated:

> I think this is one of the more important elements of the companies in the index. The people running these companies are in control. So when we experience a drawdown like 2008, that's precisely when they are going to take on more debt and deploy cash. Because the opportunities are so rich. That's when you want to be spending money. That's when you want to be investing. Compare this behavior to the agent-operated companies. They loathe spending cash or taking on debt in a highly volatile environment. An agent-operator is so fearful about how that will be perceived by the public and the board and how it may impact his or her career prospects. They just sit there on mountains of cash. And you can see that. There are so many articles out there right now about how companies are hoarding cash at such a high level.

The owner-operators are nothing if not opportunistic. We talked about a few examples, such as Carl Icahn, the famous dealmaker. There are a variety of Icahn-led companies in the index. American Railcar, CVR Energy and Chesapeake are three.

"When you study somebody like Carl Icahn," Matt said, "it becomes very clear that he's using these companies like chess pieces." Let's just look at American Railcar and CVR Energy, for instance. In the oil-rich Bakken, there was a shortage of pipeline capacity to get it to the refineries, such as CVR. One of the only options was to put it on rail cars, and that's what American Railcar makes. "It's interesting to see him play that game," Matt said. "He's now involved in Chesapeake. So there's clearly a strategic element to everything he's doing."

Owner-operators are also tax efficient. Here Matt mentioned John Malone at Liberty Media. "Look at his career," Matt said. "He hates paying taxes. What he tries to do is minimize pretax income, so he can minimize his tax bill. But if you look at Liberty Media, it looks expensive on a price-earnings basis because he's trying to reduce the E.